The Home Depot Inc HD ★★★

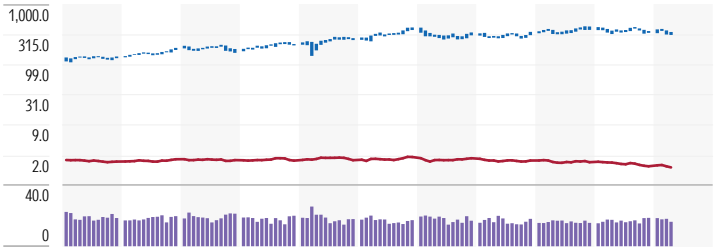
ESG Risk Rating Assessment[†]

31-May-2024

Home Depot is the world's largest home improvement specialty retailer, operating 2,359 warehouse-format stores offering more than 30,000 products in store and 1 million products online in the US, Canada, and Mexico. Its stores offer building materials, home improvement products, lawn and garden products, and decor products and provide various services, including home improvement installation services and tool and equipment rentals. The acquisition of Interline Brands in 2015 allowed Home Depot to enter the MRO business, which has been expanded through the tie-up with HD Supply (2020). The 2024 tie-up with SRS will help grow professional demand in roofing, pool, and landscaping projects, while the 2025 purchase of GMS will lift building product sales through 1,250 distribution locations.

Fair Value	Uncertainty	Economic Moat	Sector	Style	Market Cap (Mil)	Sales (Mil)	Last Close
$335.00	Medium	Wide	Consumer Cycl	Large Value	330,980	164,683	332.30

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	YTD
High	139.00	191.49	215.43	239.31	292.95	420.61	417.84	354.92	439.37	426.75	397.63
Low	109.62	133.05	158.09	168.21	140.63	246.59	264.51	274.26	323.77	326.31	315.31



10 Yr Range (High/Low) 439.37-109.62

52 Wk Range (High/Low) 426.75-315.31

Price Volatility
- Monthly High/Low
- Rel Strength to S&P 500
- Split

Trading Volume (Million)

Stock Performance

2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	YTD	
3.5	44.0	-7.2	30.3	24.4	58.7	-22.1	12.4	14.8	-9.2	-2.8	Total Return %
-8.5	22.2	-2.8	-1.2	6.0	30.0	-3.9	-13.9	-10.2	-27.1	-7.9	+/- Market
2.3	2.5	-1.1	-1.2	-5.4	0.6	0.4	-1.6	1.2	-1.6	-2.7	+/- Industry
2.1	1.9	2.4	2.5	2.3	1.6	2.4	2.4	2.3	2.7	2.8	Dividend Yield %
163331	221323	194075	238216	285967	433370	321920	344908	386408	342556	330980	Market Cap $Mil

Financials (USD)

2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	TTM	
99228	105595	110934	125631	147699	157291	153714	154596	166189	—	164683	Revenue $Mil
34.2	34.1	34.3	34.1	34.0	33.6	33.5	33.4	33.4	33.3	33.3	Gross Margin %
14419	15341	16065	17598	22298	24112	22298	21174	21536	—	20890	Oper Income $Mil
14.2	14.6	14.6	14.4	13.8	15.2	15.3	14.2	13.5	12.7	12.7	Operating Margin %
8595	10556	11105	12490	15938	17095	15704	14610	14582	—	14156	Net Income $Mil
6.45	7.29	9.73	10.25	11.94	15.53	16.69	15.11	14.91	14.23	14.23	Earnings Per Share $
2.76	3.56	4.12	5.44	6.00	6.60	7.60	8.36	9.00	9.20	9.20	Dividends $
1234	1184	1143	1097	1078	1058	1025	1002	993	995	995	Shares Mil
2.18	1.17	-0.99	1.43	0.99	1.27	1.44	5.82	12.17	12.86	12.86	Book Value Per Share $
11605	12326	13666	20345	14810	13206	21033	19872	17649	—	16325	Oper Cash Flow $Mil
-1830	-2254	-2622	-2290	-2697	-3045	-3271	-3242	-3722	—	-3679	Cap Spending $Mil
9775	10072	11044	18055	12113	10161	17762	16630	13927	—	12646	Free Cash Flow $Mil

Profitability

2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	TTM	
18.7	19.7	25.1	23.6	21.1	23.1	23.1	19.8	17.2	14.1	14.1	Return on Assets %
149.4	298.3	—	—	14061.2	2050.3	—	1162.2	385.4	145.5	145.5	Return on Equity %
2.23	2.31	2.44	2.31	2.17	2.12	2.12	2.00	1.85	1.64	1.64	Asset Turnover
8.4	8.6	10.3	10.2	9.7	10.9	10.9	9.9	9.3	8.6	8.6	Net Margin %
9.9	30.6	—	—	21.4	—	48.9	73.3	14.5	8.2	8.2	Financial Leverage

Financial Health (USD)

2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	01-26	
22349	24267	26807	28670	35822	36604	41962	42743	48485	—	46343	Long-Term Debt $Mil
4333	1454	-1878	-3116	3299	-1696	1562	1044	6640	—	12813	Total Equity $Mil
5.16	16.69	—	—	12.48	—	30.85	47.73	8.45	4.25	4.25	Debt/Equity
3591	2739	1813	1435	5311	362	9361	7760	3022	—	1967	Working Capital $Mil

Valuation

2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	TTM	
21.7	26.3	18.8	21.7	22.9	27.7	19.0	22.2	26.4	23.5	23.4	Price/Earnings
—	—	0.0	0.0	0.0	0.0	—	—	0.0	0.0	0.9	P/E vs. Market
1.8	2.3	1.9	2.2	2.3	3.0	2.1	2.3	2.5	2.1	2.0	Price/Sales
29.1	87.0	147.1	-222.2	185.2	416.7	250.0	243.9	66.7	28.2	25.8	Price/Book
16.8	19.5	16.1	17.7	14.1	29.9	24.7	16.6	19.4	19.4	20.3	Price/Cash Flow

Growth Rates (Compound Annual)

Grade: C	1 Yr	3 Yr	5 Yr	10 Yr
Revenue %	3.2	1.5	4.5	6.4
Operating Income %	-3.0	-4.6	2.7	5.9
Earnings/Share %	-4.6	-5.2	3.6	10.1
Dividends %	2.2	6.6	8.9	14.6
Book Value/Share %	92.7	103.1	33.3	9.8
Stock Total Return	-4.5	6.9	3.1	11.3
+/- Industry	-4.8	0.6	-0.4	-1.3
+/- Market	-35.9	-14.9	-9.9	-3.7

Profitability Analysis

Grade:	Current	5 Yr Avg	Ind	Mkt
Return on Equity %	145.5	—	6272.6	34.8
Return on Assets %	14.1	19.4	13.5	17.3
Revenue/Employee $K	348.6	330.7	—	0.0
Fixed Asset Turns	4.5	4.7	4.1	—
Inventory Turns	4.5	4.7*	3.9	—
Gross Margin %	33.3	33.5	33.6	—
Operating Margin %	12.7	14.2	12.3	—
Net Margin %	8.6	9.9	8.2	23.4
Free Cash Flow/Rev %	7.7	9.2	7.9	—
R&D/Rev %	—	—	—	—

Financial Position (USD)

Grade: A	01-25 $Mil	01-26 $Mil
Cash	1659	1684
Inventories	23451	26203
Receivables	4903	6765
Current Assets	31683	36115
Fixed Assets	35294	36724
Intangibles	28458	32683
Total Assets	96119	105095
Payables	13398	13951
Short-Term Debt	4898	9671
Current Liabilities	28661	34367
Long-Term Debt	48485	46343
Total Liabilities	89479	92282
Total Equity	6640	12813

Valuation Analysis

	Current	5 Yr Avg	Ind	Mkt
Price/Earnings	23.4	22.7	22.5	25.8
Forward P/E	22.2	—	—	—
Price/Cash Flow	20.3	20.0	17.7	18.3
Price/Free Cash Flow	26.1	24.4	23.2	—
Dividend Yield %	2.8	2.3	2.5	1.5
Price/Book	25.8	267.1	312.5	4.8
Price/Sales	2.0	2.3	1.8	—
PEG Ratio	3.0	—	—	—

*3Yr Avg data is displayed in place of 5 Yr Avg

[†]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Quarterly Results (USD)

Revenue $	Apr	Jul	Oct	Jan
Most Recent	39856.0	45277.0	41352.0	38198.0
Previous	36418.0	43175.0	40217.0	39704.0
Rev Growth %	**Apr**	**Jul**	**Oct**	**Jan**
Most Recent	9.4	4.9	2.8	-3.8
Previous	-2.3	0.6	6.7	14.1
Earnings Per Share $	**Apr**	**Jul**	**Oct**	**Jan**
Most Recent	3.45	4.58	3.62	2.58
Previous	3.63	4.60	3.67	3.02

Close Competitors

	Mkt Cap $Mil	Rev $Mil	P/E	ROE%
Lowe's Companies Inc	135843	86286	20.5	—
Target Corp	58744	104780	16.0	24.0

Major Fund Holders

	% of shares
KODEX S&P500	0.01
TIGER U.S. Dividend Equity	0.00
TIGER S&P500	0.00

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